APPRAISAL REPORT

Cobalt Marketplace | New Orleans, LA

Subject Property	Cobalt Marketplace
Address	6857 Meadow Court, New Orleans, LA 92602
Property Rights Appraised	Fee Simple
Effective Date of Value	September 24, 2023
Market Value Conclusion	$112,880,000

Demographics and Employment

The New Orleans Retail market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.80% and 5.80%. Rent growth in the submarket has averaged 4.6% annually over the past 5 years. Median household income within a 3-mile radius of the property is approximately $51,000 and has grown 2.5% annually.

Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.63% and 5.63%. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 2.1% population growth over the last five years. Market vacancy for comparable Retail product stands at 13.5%, down from 4.5% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 19 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 4.4 acres and is generally level with frontage along Meadow Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 13.7% population growth over the last five years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Rent growth in the submarket has averaged 6.9% annually over the past 10 years. Median household income within a 2-mile radius of the property is approximately $149,000 and has grown 11.6% annually. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 6.37% and 6.37%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Median household income within a 4-mile radius of the property is approximately $33,000 and has grown 4.3% annually. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.7% annually over the past 9 years.

Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 22.22 acres and is generally level with frontage along Meadow Court.

The site contains approximately 25.25 acres and is generally level with frontage along Meadow Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

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Submarket Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Employment growth is led by healthcare, logistics, education and professional services sectors. The New Orleans Retail market has experienced absorption of 3800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 7-mile radius of the property is approximately $295,000 and has grown 7.5% annually.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Site Description

Access to the site is provided by 20 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 3.3 acres and is generally level with frontage along Meadow Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 26.26 acres and is generally level with frontage along Meadow Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Submarket Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 9.8% population growth over the last five years. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 8.08% and 8.08%. Market vacancy for comparable Retail product stands at 12.9%, down from 4.5% two years ago. Average rent is $20 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.1% annually over the past 12 years. Average rent is $20 per square foot with parking at a ratio of 16 spaces per 1,000 square feet.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 32.32 acres and is generally level with frontage along Meadow Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Rent growth in the submarket has averaged 3.5% annually over the past 10 years. Average rent is $20 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.02% and 5.02%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 4.9% population growth over the last five years.

Average rent is $20 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 4.1% annually over the past 11 years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Site Description

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Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 13-year membrane system with an estimated remaining useful life of 11 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition.

Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average rent is $20 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Common area interiors have been refreshed within the last 11 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 24-year membrane system with an estimated remaining useful life of 3 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

The roof is a 16-year membrane system with an estimated remaining useful life of 6 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Cobalt Marketplace was originally constructed in 1990 and consists of 409,000 SF in a building of 15 stories.

The roof is a 6-year membrane system with an estimated remaining useful life of 11 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Average rent is $20 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Everett Crossing	Boise, ID	09/01/2023	6	$91,106,793	$223	5.46%	1971
Juniper Square	Oklahoma City, OK	01/27/2026	3	$65,367,217	$160	7.69%	2018
Hollis Town Center	Denver, CO	05/07/2022	3	$49,525,638	$121	6.69%	2000
Jasper Shopping Center	Dallas, TX	06/01/2025	3	$45,400,601	$111	8.08%	1981
Ridgeline Shopping Center	Greenville, SC	07/17/2023	4	$100,781,206	$246	6.21%	1995
Magnolia Crossing	Pittsburgh, PA	04/25/2025	3	$110,413,114	$270	7.34%	2023
Bayview Marketplace	Newark, NJ	02/15/2023	5	$138,147,340	$338	5.67%	1984
Gatewood Shopping Center	Charlotte, NC	02/12/2024	4	$91,826,872	$225	6.32%	1972
Beacon Town Center	Detroit, MI	09/03/2024	4	$132,684,571	$324	5.65%	2022
Oakmont Square	Boise, ID	08/18/2024	5	$53,955,566	$132	6.07%	1989
Wexford Square	Tempe, AZ	01/10/2024	4	$80,496,265	$197	7.11%	1981
Laurel Shopping Center	Phoenix, AZ	11/22/2022	3	$105,732,807	$259	7.57%	2016
Parkview Shopping Center	San Antonio, TX	12/18/2023	6	$99,673,021	$244	7.33%	1985
Osprey Crossing	Norfolk, VA	05/22/2024	6	$50,477,683	$123	7.88%	2005
Summit Shopping Center	Charlotte, NC	07/03/2024	7	$67,169,033	$164	5.24%	1994
Hawthorne Marketplace	San Antonio, TX	01/23/2025	4	$112,931,725	$276	6.11%	1969
Beacon Crossing	Memphis, TN	03/10/2024	7	$113,075,324	$276	7.69%	2000
Orchard Town Center	Portland, OR	01/09/2024	3	$102,100,798	$250	7.56%	2007
Lantern Crossing	Omaha, NE	07/03/2026	4	$52,901,834	$129	5.71%	1995
Lantern Town Center	Des Moines, IA	03/26/2024	4	$59,873,729	$146	5.88%	2014
Timberline Crossing	Sacramento, CA	07/30/2023	3	$97,385,115	$238	5.37%	2010
Glenview Town Center	Baltimore, MD	04/25/2022	3	$113,543,464	$278	6.48%	1987
Orchard Square	Salt Lake City, UT	07/11/2023	4	$140,153,433	$343	7.80%	1991
Quincy Square	Philadelphia, PA	04/12/2023	5	$109,017,107	$267	5.28%	2010
Indigo Square	Tampa, FL	11/19/2022	5	$112,163,446	$274	6.27%	1983
Falcon Shopping Center	Boston, MA	08/23/2022	7	$114,741,673	$281	6.55%	1965
Magnolia Square	San Diego, CA	03/13/2022	4	$134,127,653	$328	6.01%	1981
Granite Marketplace	Dallas, TX	03/03/2022	6	$137,116,635	$335	6.30%	1967
Oakmont Shopping Center	Charlotte, NC	09/26/2024	7	$126,686,260	$310	6.59%	2020
Heritage Square	Madison, WI	02/24/2023	3	$109,351,979	$267	5.40%	2005
Ivy Square	Savannah, GA	06/10/2023	6	$131,552,875	$322	5.63%	1988
Copper Shopping Center	St. Louis, MO	10/13/2025	3	$85,148,142	$208	5.58%	2020
Upland Square	Austin, TX	05/25/2025	7	$71,436,695	$175	6.60%	2000
Quincy Marketplace	Madison, WI	02/14/2026	4	$130,826,436	$320	6.00%	2008
Hawthorne Shopping Center	Detroit, MI	10/22/2022	5	$137,967,721	$337	5.49%	1982
Granite Crossing	Newark, NJ	01/20/2022	7	$124,352,390	$304	6.76%	1976
Alder Shopping Center	Newark, NJ	04/26/2022	6	$49,035,866	$120	7.39%	1997
Cypress Town Center	Houston, TX	08/29/2025	6	$146,390,440	$358	6.03%	2006
Lakeshore Crossing	Minneapolis, MN	12/20/2024	5	$91,655,371	$224	8.03%	1965
Eastlake Square	Cincinnati, OH	06/14/2024	4	$156,510,051	$383	7.61%	2020

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Financial Analysis

Effective gross income for the trailing period was $31,000, representing a 11.0% increase over the prior year. Average rent is $20 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 6.55x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Effective gross income for the trailing period was $8,000, representing a 7.0% increase over the prior year. The going-in capitalization rate of 7.60% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Debt service coverage ratio was 7.12x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $89,000, representing a 7.9% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $20 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 5.65x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

Valuation Discussion

Effective gross income for the trailing period was $370,000, representing a 7.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Average rent is $20 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.03x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $470,000, representing a 10.3% increase over the prior year. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Laurel Town Center	3.2 mi	1991	Inline	$22.45	96.0%	$500
Wexford Marketplace	2.1 mi	1991	Suite	$18.20	88.1%	$500
Onyx Crossing	0.7 mi	1975	1BR	$23.53	92.0%	$500
Cobalt Crossing	1.1 mi	1996	Unit	$20.66	89.5%	None
Northgate Town Center	4.1 mi	1971	2BR	$18.60	97.6%	$500
Eastlake Shopping Center	1.8 mi	2023	Studio	$21.70	86.9%	None
Highland Marketplace	0.9 mi	1996	Suite	$17.56	93.4%	None
Garnet Square	4.3 mi	2010	Inline	$23.15	87.7%	1 mo. free
Dunmore Marketplace	1.6 mi	1992	Bay	$17.26	94.9%	1 mo. free
Hollis Crossing	4.7 mi	2008	Inline	$18.92	93.4%	1 mo. free
Ridgeline Crossing	4.8 mi	2013	Bay	$21.91	86.1%	None
Foxglove Shopping Center	0.3 mi	2000	Suite	$19.43	90.3%	$500
Ironwood Crossing	4.0 mi	1993	Studio	$19.63	87.7%	None
Mesa Marketplace	1.3 mi	2001	2BR	$17.32	90.2%	None
Bayview Town Center	0.4 mi	1999	2BR	$21.91	88.8%	1 mo. free
Lockwood Marketplace	4.1 mi	1999	Suite	$20.23	91.3%	$500
Raven Crossing	1.3 mi	2019	Inline	$23.92	86.0%	None
Gatewood Square	4.2 mi	2007	Studio	$18.26	93.5%	1 mo. free
Osprey Square	0.4 mi	1970	Bay	$17.08	86.2%	1 mo. free
Raven Crossing	1.0 mi	2018	Unit	$22.49	96.6%	None
Bayview Crossing	3.8 mi	1982	1BR	$20.09	90.4%	1 mo. free
Hollis Square	1.0 mi	1985	Studio	$17.78	93.8%	None
Everett Shopping Center	2.1 mi	2002	Studio	$18.02	87.7%	$500
Upland Marketplace	4.8 mi	2002	Bay	$19.25	91.2%	None
Banyan Town Center	3.3 mi	1987	Unit	$22.52	87.3%	$500
Glenview Town Center	2.1 mi	1978	Studio	$21.91	94.7%	None
Highland Crossing	1.2 mi	1988	Unit	$20.72	89.9%	None
Kingsley Marketplace	1.5 mi	2007	2BR	$22.91	87.3%	None
Mesa Crossing	0.9 mi	1999	Suite	$18.46	95.5%	1 mo. free
Hollis Crossing	3.5 mi	1988	Suite	$23.88	89.3%	$500
Amberly Marketplace	0.3 mi	2006	Bay	$18.67	90.0%	None
Banyan Crossing	2.2 mi	2011	Inline	$21.45	97.8%	None
Parkview Shopping Center	1.1 mi	1977	2BR	$23.30	89.1%	$500
Verde Shopping Center	1.1 mi	1981	2BR	$17.57	92.1%	None
Heritage Town Center	4.1 mi	2018	2BR	$18.81	92.0%	None
Heritage Crossing	0.4 mi	1990	Studio	$20.62	87.3%	1 mo. free
Magnolia Town Center	4.0 mi	2008	Unit	$18.28	90.9%	$500
Calloway Square	3.6 mi	1984	Studio	$19.57	97.1%	$500
Riverbend Marketplace	1.1 mi	1986	Suite	$20.78	97.5%	1 mo. free
Mesa Crossing	0.5 mi	1996	Unit	$21.95	88.1%	$500
Highland Marketplace	2.5 mi	1989	Bay	$20.72	93.6%	$500
Granite Square	2.3 mi	1994	Unit	$22.49	95.6%	None
Yarrow Marketplace	3.2 mi	1983	Inline	$22.64	90.1%	1 mo. free

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Demographics and Employment

Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 11.6% population growth over the last five years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $20 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Median household income within a 9-mile radius of the property is approximately $120,000 and has grown 10.4% annually. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.06% and 5.06%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $20 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 5.6% population growth over the last five years. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 6.93% and 6.93%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Topography and Flood Zone

The site contains approximately 4.4 acres and is generally level with frontage along Meadow Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 4 curb cuts and the property is served by municipal water and sanitary sewer.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 44.44 acres and is generally level with frontage along Meadow Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 33 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

Market vacancy for comparable Retail product stands at 5.6%, down from 6.2% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Employment growth is led by healthcare, logistics, education and professional services sectors.

Employment growth is led by healthcare, logistics, education and professional services sectors. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 6.9% population growth over the last five years. Rent growth in the submarket has averaged 5.6% annually over the past 8 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The New Orleans Retail market has experienced absorption of 3000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 16.16 acres and is generally level with frontage along Meadow Court. Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer.

Access to the site is provided by 43 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 16.16 acres and is generally level with frontage along Meadow Court. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 5.1%, down from 7.2% two years ago. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 7.0% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.51% and 5.51%. Rent growth in the submarket has averaged 3.6% annually over the past 5 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

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Improvements Description

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The roof is a 39-year membrane system with an estimated remaining useful life of 4 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $20 per square foot with parking at a ratio of 31 spaces per 1,000 square feet.

Improvements Description

Average rent is $20 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Cobalt Marketplace was originally constructed in 1990 and consists of 409,000 SF in a building of 19 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Improvements Description

The roof is a 44-year membrane system with an estimated remaining useful life of 7 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Average rent is $20 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. Cobalt Marketplace was originally constructed in 1990 and consists of 409,000 SF in a building of 29 stories.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Cobalt Marketplace was originally constructed in 1990 and consists of 409,000 SF in a building of 28 stories. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Bluestone Crossing	Indianapolis, IN	07/12/2024	3	$123,346,510	$302	6.06%	2021
Kingsley Crossing	New Orleans, LA	02/14/2022	3	$151,792,195	$371	5.56%	2013
Oakmont Crossing	Boston, MA	12/31/2023	5	$46,311,175	$113	7.83%	1997
Thornton Shopping Center	Houston, TX	06/20/2024	4	$97,746,586	$239	6.43%	2003
Wexford Marketplace	Cincinnati, OH	08/16/2023	6	$77,522,026	$190	7.83%	2009
Quincy Shopping Center	Hartford, CT	06/19/2022	6	$94,583,419	$231	6.21%	1996
Westgate Crossing	Cincinnati, OH	12/06/2023	7	$73,150,931	$179	5.57%	1966
Lantern Town Center	Tampa, FL	06/09/2024	7	$142,845,940	$349	7.21%	2018
Palisade Crossing	Dallas, TX	07/30/2024	6	$89,464,190	$219	6.86%	1984
Pelican Town Center	Milwaukee, WI	08/18/2025	4	$133,882,404	$327	6.65%	1979
Redwood Square	Jacksonville, FL	08/27/2022	4	$145,987,710	$357	6.20%	1986
Orchard Shopping Center	Pittsburgh, PA	03/12/2024	4	$52,292,471	$128	5.97%	1995
Sterling Square	Oklahoma City, OK	03/09/2024	3	$98,206,985	$240	7.95%	2023
Elmhurst Shopping Center	Albany, NY	08/10/2022	7	$104,261,178	$255	5.84%	2001
Heritage Shopping Center	Jacksonville, FL	07/31/2025	6	$138,705,336	$339	7.99%	1973
Kestrel Crossing	Salt Lake City, UT	07/23/2025	3	$130,073,951	$318	6.68%	1989
Glenview Square	Nashville, TN	06/12/2026	5	$100,960,061	$247	6.74%	2023
Ashford Crossing	Orlando, FL	04/21/2026	3	$72,036,433	$176	7.67%	2020
Westgate Town Center	San Antonio, TX	03/07/2022	3	$131,335,532	$321	6.74%	1993
Cypress Crossing	Portland, OR	08/05/2024	7	$56,862,989	$139	5.89%	1988
Verde Square	Cleveland, OH	11/16/2025	7	$69,573,286	$170	8.18%	1980
Union Crossing	Oklahoma City, OK	09/25/2023	4	$153,864,285	$376	7.89%	2019
Keystone Shopping Center	San Diego, CA	04/03/2022	7	$68,154,135	$167	7.68%	2022
Westgate Shopping Center	Jacksonville, FL	04/12/2026	4	$104,867,064	$256	6.48%	1979
Riverbend Crossing	Orlando, FL	03/25/2024	5	$133,825,122	$327	5.08%	2021
Foxglove Town Center	Atlanta, GA	05/03/2022	4	$90,636,482	$222	7.79%	1987
Sterling Marketplace	Pittsburgh, PA	11/11/2023	3	$119,175,422	$291	7.00%	1987
Dover Square	Detroit, MI	02/26/2026	7	$85,770,808	$210	6.95%	1978
Granite Town Center	Oklahoma City, OK	09/27/2024	4	$129,015,887	$315	7.45%	2018
Crestline Town Center	Columbus, OH	08/25/2023	4	$46,509,756	$114	5.92%	1983
Westgate Shopping Center	Allentown, PA	02/21/2025	7	$45,411,517	$111	6.53%	1972
Foxglove Square	Madison, WI	04/29/2026	7	$90,240,687	$221	7.36%	2007
Cypress Town Center	Sacramento, CA	03/13/2023	3	$129,802,552	$317	8.17%	2013
Laurel Square	Albany, NY	03/14/2026	4	$128,570,818	$314	7.03%	1970
Pinecrest Square	Tampa, FL	06/06/2024	7	$47,593,838	$116	7.95%	1998
Dunmore Shopping Center	Portland, OR	01/24/2023	4	$107,480,852	$263	7.40%	1999
Ivy Marketplace	Tampa, FL	03/29/2025	3	$146,145,512	$357	6.13%	1972
Foxglove Square	Indianapolis, IN	11/26/2023	3	$114,641,391	$280	5.92%	2000
Alder Shopping Center	Baltimore, MD	11/27/2024	7	$114,113,518	$279	7.89%	2005
Birchwood Marketplace	Milwaukee, WI	02/17/2023	3	$114,680,257	$280	5.41%	1995
Quarry Crossing	Baltimore, MD	04/02/2026	4	$49,789,534	$122	7.13%	1980
Heritage Marketplace	Norfolk, VA	06/25/2026	6	$78,507,608	$192	5.75%	2021

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $225,000 or approximately 11.95 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Operating expenses totaled $295,000 or approximately 42.47 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Income and Expense Review

The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $392,000 or approximately 46.47 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $81,000, representing a 6.5% increase over the prior year. Debt service coverage ratio was 6.81x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The going-in capitalization rate of 6.81% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $439,000, representing a 4.2% increase over the prior year. Operating expenses totaled $56,000 or approximately 38.22 per square foot, with real estate taxes representing the largest line item. Average rent is $20 per square foot with parking at a ratio of 16 spaces per 1,000 square feet.

Operating Performance

Operating expenses totaled $25,000 or approximately 28.81 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.86x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $434,000, representing a 6.9% increase over the prior year. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Alder Marketplace	0.7 mi	1989	1BR	$22.41	97.5%	None
Yarrow Marketplace	2.5 mi	1975	Bay	$17.01	93.7%	None
Juniper Shopping Center	3.0 mi	1979	Bay	$23.15	96.1%	$500
Pinecrest Marketplace	1.7 mi	1972	2BR	$18.12	89.0%	$500
Riverbend Shopping Center	3.8 mi	2007	Suite	$17.80	87.4%	$500
Timberline Town Center	2.1 mi	2005	Bay	$21.27	86.2%	1 mo. free
Pelican Marketplace	4.9 mi	2013	Suite	$19.88	94.6%	$500
Newport Square	3.5 mi	2001	Studio	$17.24	86.1%	1 mo. free
Timberline Square	2.6 mi	2020	2BR	$20.75	89.1%	None
Windmill Shopping Center	3.3 mi	1992	Studio	$21.52	94.0%	None
Pinecrest Square	3.0 mi	2023	Bay	$22.28	89.4%	1 mo. free
Dover Town Center	1.5 mi	2014	2BR	$17.29	89.2%	1 mo. free
Dunmore Marketplace	4.8 mi	1971	2BR	$21.01	91.7%	None
Whitaker Town Center	3.1 mi	1973	1BR	$21.36	95.6%	1 mo. free
Zephyr Marketplace	2.4 mi	2000	Bay	$17.46	86.6%	None
Maple Town Center	3.1 mi	1998	2BR	$22.42	89.0%	None
Granite Marketplace	1.4 mi	2014	Studio	$18.68	92.2%	1 mo. free
Aspen Marketplace	2.8 mi	2014	Bay	$23.71	94.2%	$500
Orchard Town Center	3.6 mi	1983	1BR	$21.61	94.8%	None
Jasper Town Center	3.2 mi	2012	Suite	$21.33	86.8%	$500
Windmill Marketplace	4.1 mi	2021	2BR	$21.54	87.1%	1 mo. free
Onyx Town Center	3.2 mi	2014	Suite	$22.52	89.0%	None
Northgate Crossing	3.0 mi	1987	1BR	$19.17	95.3%	1 mo. free
Wexford Shopping Center	0.9 mi	1974	Bay	$22.79	88.3%	$500
Bayview Marketplace	2.8 mi	2005	Suite	$22.54	86.8%	None
Beacon Shopping Center	4.3 mi	2014	1BR	$18.80	93.8%	$500
Riverbend Square	3.4 mi	2000	1BR	$20.32	88.8%	1 mo. free
Dunmore Shopping Center	4.0 mi	2004	Studio	$18.57	87.8%	None
Osprey Marketplace	4.5 mi	2002	1BR	$23.29	90.6%	$500
Yarrow Town Center	4.6 mi	1996	Suite	$18.94	89.2%	None
Yarrow Square	0.8 mi	2003	2BR	$18.23	88.5%	None
Hollis Shopping Center	4.5 mi	1998	Unit	$19.00	86.0%	1 mo. free
Foxglove Town Center	4.4 mi	1982	Unit	$22.25	95.8%	None
Orchard Town Center	0.9 mi	2022	2BR	$20.68	97.7%	None
Whitaker Square	0.7 mi	1970	Unit	$18.97	90.9%	None
Ridgeline Marketplace	1.4 mi	2010	Bay	$22.89	93.9%	$500
Whitaker Crossing	0.4 mi	1987	Bay	$21.73	89.8%	$500
Laurel Crossing	0.7 mi	2003	1BR	$23.60	94.7%	None
Vista Crossing	4.0 mi	1982	Studio	$19.60	97.4%	$500
Upland Crossing	0.6 mi	1997	Bay	$19.52	95.7%	None

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Market Overview

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Market vacancy for comparable Retail product stands at 10.2%, down from 6.3% two years ago. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 7.36% and 7.36%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Employment growth is led by healthcare, logistics, education and professional services sectors.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The New Orleans Retail market has experienced absorption of 4000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 41.41 acres and is generally level with frontage along Meadow Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 42 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Submarket Analysis

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 5.09% and 5.09%. Rent growth in the submarket has averaged 6.1% annually over the past 8 years. Median household income within a 5-mile radius of the property is approximately $431,000 and has grown 13.4% annually.

The New Orleans Retail market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.1% annually over the past 7 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Investor demand for Retail assets in New Orleans remains strong with recent trades at capitalization rates between 7.41% and 7.41%.

Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 19 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 5.5 acres and is generally level with frontage along Meadow Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site contains approximately 40.40 acres and is generally level with frontage along Meadow Court. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $20 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Cobalt Marketplace is located in New Orleans, LA, a market that has recorded 6.6% population growth over the last five years.

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